Regulation

Utilities such as the water supply are natural monopolies, and are therefore a good target for government regulation.

Even in market economies, governments regulate businesses where competition is absent. ‘Natural monopolies’, such as water suppliers, have average costs that decline as output rises because of large set-up investments. One large firm is cheaper than several firms operating different networks, but how do you stop the monopolist from charging high prices? The most efficient amount of water production is that for which the price – the value consumers place on the last unit of water – is equal to the cost of producing it (the marginal cost). To boost profits, monopolists produce less, charging more. The regulator could compel the water company to produce until price equals marginal cost. But at this high level of production, price becomes so low that the natural monopolist no longer covers average costs and makes a loss. One response to this problem is to subsidize the monopolist; an alternative is to set a price cap that allows the firm to remain viable. All of these solutions have drawbacks, so regulation is complex and often politically contentious.